

LIMITED SOURCES JUSTIFICATION

ORDER >SAT

[FAR PART 8.405-6](#)

Acquisition Plan Action ID: 36C242-25-AP-0963

(1) Contracting Activity: Department of Veterans Affairs, Network Contracting Office 02, located at JJP Bronx VAMC 130 West Kingsbridge Road Bronx NY 10468, in support of VISN 02 VA Health Care System at Hudson Valley VAHCS, Castle Point Campus 41 Castle Point Road, Wappingers Falls, NY 12590-0100. Funded with purchase request 2237 # 620-25-3-149-0001.

(2) Description of Action: This acquisition is conducted under the authority of the Multiple-Award Schedule Program ([41 U.S.C. 152\(3\)](#) and [40 U.S.C. 501](#)). The contracting activity proposes a sole source with Olympus America, Inc. for leasing and Maintenance of Scopes. This is a request for approval of equipment leasing and full maintenance services of items from Olympus America, Inc. Scope Equipment leasing will be under VA NAC contract 36F79721D0168 and full-service maintenance of various scopes. This procurement will be conducted in accordance with FAR Part 8. The purpose of the equipment lease and full-service maintenance agreement is to reduce service costs and improve equipment turn-around time and reliability. This will be a firm-fixed price delivery order contract with a period of performance of 6/1/2025 – 5/31/2029 and will include three 12 months lease and service option years.

Order against: ☒ FSS Contract Number: 36F79721D0168.

Name of Proposed Contractor:	OLYMPUS AMERICA, INC
Street Address:	3500 Corporate Parkway
City, State, Zip:	Center Valley, PA 18034-0610
Phone:	Robert Mantegazza, (484) 896 5000

(3) Description of Supplies or Services:

The estimated value of the proposed action is \$505,644.48.

Monthly Scope Lease Equipment Payment: \$6,417.60 and Monthly Service Payment: \$4,116.66 = Total Monthly Payment of \$10,534.26. The Hudson Valley Healthcare System Castle Point campus requires that the Contractor lease to the Government Olympus scopes and associated equipment. These scopes are essential to patient treatment in a high-volume facility. Lack of these services would require patients to receive care outside the facility and/or cause delay in treatment putting patient care at risk. The following GI endoscope equipment will be leased under a full-service contract to be used in endoscopic GI procedures:

QTY	Product	Description
10	PCF-HQ190L	Slim Colonoscopes with dual focus NBI: 2205070, 2205061, 2205050, 2205062, 2205035, 2205071, 2205031, 2205064, 2205063, 2205067
5	GIF-HQ190	Gastrosopes Evis Exera III HDTV DF NBI: 2271033, 2270896, 2270889, 2270881, 2271043
2	OFP-2	Flushing Pumps: 22220331, 22220234
2	CLV-190	Xenon Light Source S/N: 7667325, 7667332
2	CV-190	Video System Center S/N: 7620184, 7620189

(4) Identify the Authority and Supporting Rationale (see below and if applicable, a demonstration of the proposed contractor's unique qualifications to provide the required supply or service.

☐ [FAR 8.405-6\(a\)\(1\)\(A\)](#): An urgent and compelling need exists and following the ordering procedures would result in unacceptable delays: *Specify the urgency/compelling need.*

☒ [FAR 8.405-6\(a\)\(1\)\(B\)](#): Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized; Olympus America, Inc. is the only company that can provide the scopes and all the necessary OEM parts to perform all the necessary repairs for the Olympus scopes and associated equipment described above. The requesting service has decided to use scopes manufactured, sold, and leased by Olympus America, Inc. since 2012. Using alternative products would not be comparable to current equipment at the facility and would require facility wide replacement and would represent an unreasonable cost to the Government. Accordingly, Olympus America, Inc. is the only firm capable of providing the supplies and services described in Section 3 without the Veteran's Health Administration experiencing unacceptable delays in fulfilling its requirements.

☐ [FAR 8.405-6\(a\)\(1\)\(C\)](#): In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order must not have been previously issued under sole source or limited source procedures.

☒ [FAR 8.405-6\(b\)](#): Items peculiar to one manufacturer:

☒ A patent, copyright or proprietary data limits competition. The proprietary data is Olympus America, Inc. the manufacturer of the scopes required by the Hudson Valley VA Healthcare System, they lease and provide maintenance for the scopes.

☐ These are “direct replacements” parts/components for existing equipment.

☐ The material/service must be compatible in all aspects (form, fit and function) with existing systems presently installed/performing.

(5) Describe Why You Believe the Order Represents the Best Value consistent with FAR 8.404(d) to aid the contracting officer in making this best value determination:

The Contractor has an indefinite delivery contract with the Department of Veterans Affairs on the GSA Federal Supply Schedule / National Acquisition Center (NAC) and is the incumbent Contractor for this requirement. The anticipated cost is considered fair and reasonable based on the FSS contract price having been determined fair and reasonable. Award to Olympus America, Inc. for items as a National Acquisition Center (NAC) Order represents the best value to the Government. Leasing is in the best interest of the Government as it provides cost savings as well as, and more importantly provides next day replacement preventing postponed patient care. Further, repair of Olympus scopes requires the use of Olympus repair parts in order to retain scope image and scope safety per OEM requirements.

This comparative pricing reflects the difference in pricing and price quoted by Olympus America, Inc. quote is determined to be fair and reasonable.

- Lease equipment lease monthly is reduced from \$15,119.06 to \$6,417.60 a 57.55% decrease.
- Maintenance monthly service was reduced from \$4,119.50 to \$4,116.66 a 0.0689% decrease.

The site has reduced the number of scopes to save Government spending.

(6) Describe the Market Research Conducted: Findings determined that only one source can provide the services which is Olympus America, Inc., a large business. Due to the proprietary nature, Olympus America, Inc. is the only company than can access its systems remotely and offer certified parts that meet the original equipment manufacturer’s specifications. GSA Advantage/e-buy, SBA , and the VA NAC Med-Surg Catalog were also used to determine if there were any other sources of providing the scopes for leasing and service maintenance

agreements on the Olympus equipment. A special notice was posted on SAM.gov informing of the Government's intent to sole source to Olympus America, Inc., with no responses received from interested vendors.

(7) Any Other Facts Supporting the Justification: Olympus America, Inc. (OAI) is the Original Equipment Manufacturer (OEM) and provided a sole source letter with Olympus Policy towards third party leasing. Olympus branded medical products is the exclusive direct distributor of such products in the United States. Olympus does not have any authorized third-party distributors or SDVOSB sources for leasing. Government leasing of OAI products is managed exclusively through Olympus Financial Services. Therefore, items are leased from Olympus and maintenance must be completed by Olympus America, Inc. to keep manufacturer warranties.

(8) A Statement of the Actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made:

In situations involving medical equipment, it is difficult to remove barriers to competition because the OEM is the only qualified company capable to provide the repair and maintenance of its own medical equipment. This is especially true where proprietary software, specific diagnostics tools, and specialized electronics are used to maintain the equipment in accordance with OEM specifications and VA facilities practice standardization. Unless the manufacturer chooses to license its software and authorize local service providers to maintain the Olympus equipment, the only alternative would be to replace the existing Olympus America, Inc. equipment with a more generic brand.

(9) Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge. I understand that processing of this limited sources justification restricts consideration of Federal Supply Schedule contractors to fewer than the number required by FAR Subpart 8.4. *(This signature is the requestor's supervisor, fund control point official, chief of service or someone with responsibility and accountability.)*

SARAH LABAT		02/20/2025
Digitally signed by SARAH LABAT Date: 2025.02.20 14:05:38 -05'00'		
SIGNATURE	DATE	
Sarah Labat	Associate Group Practice Manager	Medicine and Specialties
NAME	TITLE	SERVICE LINE/SECTION
Hudson Valley Health Care System	Veteran Affairs	
FACILITY		

(10) Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

a. Contracting Officer's Certification (required): I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

NATALIE
ACEVEDO

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NATALIE ACEVEDO
Date: 2025.02.20
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02-20-2025

CONTRACTING OFFICER/DESIGNEE'S SIGNATURE

DATE

Natalie Acevedo, Contracting Officer

620 / NCO 2

NAME AND TITLE

FACILITY/NCO/PCO

b. One Level Above the Contracting Officer (Required over the SAT but not exceeding \$750K):

I certify the justification meets requirements for other than full and open competition.

ANTHONY
MURRAY

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ANTHONY MURRAY
Date: 2025.02.21
06:49:29 -05'00'

02/21/2025

SIGNATURE

DATE

Anthony Murray

Joseph Cellino

NCO/PCO 02 Duty Title

HIGHER LEVEL APPROVAL (Required for orders over \$750,000):

c. VHA RPO HCA Review and Approval (over \$750,000 to \$75 million): I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve for restricting consideration of the Federal Supply Schedule contractors to fewer than the number required by FAR Subpart 8.4.

NAME

VHA Head of Contracting Activity (HCA)

DATE

d. Senior Procurement Executive Approval (over \$75 million): I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve for other than full and open competition.

Angela Billups, Ph.D.
Deputy Assistant Secretary
Office of Acquisition and Logistics
Senior Procurement Executive (SPE)

DATE